Nimbus Robotics, Inc.

Form 10-Q (Excerpt) — Quarterly Report — Period Ended June 30, 2026 — NASDAQ: NMBR

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Net revenue for the three months ended June 30, 2026 was $412.6 million, an increase of 9.4% year-over-year, driven primarily by higher unit shipments of our collaborative robotic arm product line. Gross margin declined to 38.2%, down from 43.7% in the prior-year period. The decline was driven primarily by a sustained increase in input costs for steel castings and semiconductor components used in our servo drive assemblies, which together rose approximately 21% year-over-year, combined with elevated freight surcharges related to ongoing carrier capacity constraints.

Diluted earnings per share for the quarter were $0.61, down from $0.89 in the prior-year period. Management estimates that approximately $0.19 of the $0.28 year-over-year EPS decline is directly attributable to gross margin compression from input cost inflation, with the remainder attributable to higher interest expense on variable-rate debt and increased R&D; investment in our next-generation vision-guided picking system.

We have taken several mitigating actions, including qualifying a second semiconductor supplier in Southeast Asia to reduce single-source exposure, and entering into a 12-month fixed-price agreement for approximately 60% of our steel casting volume beginning in Q3 2026. Management expects these actions to partially offset margin pressure beginning in the fourth quarter of fiscal 2026, though we do not expect gross margin to return to prior-year levels before fiscal 2027.

Liquidity and Capital Resources

As of June 30, 2026, total debt outstanding was $612.4 million, consisting of $450.0 million in senior notes and $162.4 million drawn on our revolving credit facility. Total stockholders' equity was $498.1 million, resulting in a debt-to-equity ratio of approximately 1.23x, up from 0.94x at the end of fiscal 2025. The increase in leverage primarily reflects the additional revolver drawdown used to fund inventory build ahead of anticipated further input cost increases. Our current ratio at quarter-end was 1.4x, compared to 1.7x a year ago.

Risk Factors (Updated)

Sustained increases in the cost of steel, semiconductor components, or freight could continue to compress gross margin faster than we are able to offset through pricing actions or supplier diversification. Our variable-rate revolving credit facility exposes us to interest rate risk; a 100 basis point increase in reference rates would increase annualized interest expense by approximately $1.6 million based on the current outstanding balance.

Selected Financial Data (Unaudited, $ in millions except per-share data)

Metric	Q2 2026	Q2 2025	YoY Change
Net Revenue	$412.6	$377.1	+9.4%
Gross Margin %	38.2%	43.7%	-5.5 pts
Operating Income	$54.3	$71.8	-24.4%
Diluted EPS	$0.61	$0.89	-31.5%
Total Debt	$612.4	$471.0	+30.0%
Total Equity	$498.1	$501.6	-0.7%
Debt-to-Equity	1.23x	0.94x	+0.29x
Current Ratio	1.4x	1.7x	-0.3x